

CRED III Master Funds

**Combined Financial Statements (Unaudited)
March 31, 2025**

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CRED III Master Funds
Combined Statement of Assets, Liabilities and Capital (Unaudited)
March 31, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Assets			
Investments, at fair value (cost \$241,805,952 and \$86,557,395 respectively)	\$ 251,065,431	\$ 94,794,490	\$ 345,859,921
Cash	4,597,107	754,332	5,351,439
Restricted cash	6,233,000	-	6,233,000
Due from affiliates	464,635	483,739	948,374
Interest receivable	560,792	281,910	842,702
Deferred financing costs, net	33,481	31,312	64,793
Other assets	-	75,000	75,000
Total assets	<u>\$ 262,954,446</u>	<u>\$ 96,420,783</u>	<u>\$ 359,375,229</u>
Liabilities and Capital			
Repurchase facilities payable	\$ 110,277,632	\$ -	\$ 110,277,632
Credit facility payable	7,446,651	7,440,970	14,887,621
Interest payable	1,355,872	60,431	1,416,303
Management fee payable	412,343	359,662	772,005
Deferred loan fees, net	-	152,615	152,615
Accounts payable and accrued expenses	5,000	-	5,000
Total liabilities	<u>119,497,498</u>	<u>8,013,678</u>	<u>127,511,176</u>
Partners' capital	143,456,948	88,282,105	231,739,053
Non-controlling interest	-	125,000	125,000
Total capital	<u>143,456,948</u>	<u>88,407,105</u>	<u>231,864,053</u>
Total liabilities and capital	<u>\$ 262,954,446</u>	<u>\$ 96,420,783</u>	<u>\$ 359,375,229</u>

CRED III Master Funds
Combined Schedule of Investments (Unaudited)
March 31, 2025

Investments (149.2% of capital)

Description	Ownership Percentage	Cost Basis	Fair Value	Fair Value as Percentage of Capital
<u>Mortgage-backed security investments</u>				
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	\$ 48,363,456	\$ 48,363,456	20.9%
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	54,685,226	54,685,226	23.6%
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	58,600,369	59,084,962	25.4%
Total mortgage-backed security investments		161,649,051	162,133,644	69.9%
<u>Preferred equity investments</u>				
South Tryon Flats - Charlotte, NC	56.2%	19,954,239	23,133,322	10.0%
Navona - Mesa, AZ	43.3%	31,260,194	34,480,639	14.9%
Towerview at Ballantyne - Charlotte, NC	34.9%	12,473,069	14,036,759	6.1%
The Valiant - Berkeley, CA	33.6%	8,839,095	9,354,934	4.0%
Aer Lamar - Austin, TX	36.2%	7,629,467	7,885,632	3.4%
Inspire Sonoran Desert - Phoenix, AZ	31.1%	837	40,501	0.0%
Total preferred equity investments		80,156,901	88,931,787	38.4%
<u>Real estate loan investments</u>				
35 Stone - Seattle, WA	100.0%	26,337,861	26,337,861	11.4%
JP Morgan Facility Portfolio – Various ⁽²⁾	51.0%	60,219,534	68,456,629	29.5%
Total real estate loan investments		86,557,395	94,794,490	40.9%
Total investments		\$ 328,363,347	\$ 345,859,921	149.2%

⁽¹⁾ Loan or portion thereof is pledged as collateral supporting the outstanding secured borrowings with repurchase facilities.

⁽²⁾ The JP Morgan Facility Portfolio is levered with a senior participation from JP Morgan and the related values are shown net of such senior participation.

CRED III Master Funds
Combined Statement of Operations (Unaudited)
For the Three Months Ended March 31, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Investment income			
Interest income	\$ 4,912,200	\$ 819,724	\$ 5,731,924
Dividend income	816,308	660,396	1,476,704
Other income	16,408	33,583	49,991
Total investment income	5,744,916	1,513,703	7,258,619
Expenses			
Interest expense	1,757,293	60,153	1,817,446
Management fees	412,343	359,662	772,005
Amortization of deferred financing costs	53,809	50,323	104,132
Professional fees	16,356	16,356	32,712
Other expenses	3,629	526	4,155
Total expenses	2,243,430	487,020	2,730,450
Net investment income (loss)	3,501,486	1,026,683	4,528,169
Change in unrealized gain (loss) on investments			
Change in unrealized gain (loss) on investments	1,249,310	1,430,446	2,679,756
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	4,750,796	2,457,129	7,207,925
Dividends to non-controlling interest	-	(3,750)	(3,750)
Net increase (decrease) in capital	\$ 4,750,796	\$ 2,453,379	\$ 7,204,175

CRED III Master Funds
Combined Statement of Changes in Capital (Unaudited)
For the Three Months Ended March 31, 2025

	<u>General Partner</u>	<u>Limited Partners</u>	<u>Non-controlling Interest</u>	<u>Total</u>
<u>CRED III Master Fund L.P.</u>				
Capital as of December 31, 2024	\$ -	\$ 154,894,667	\$ -	\$ 154,894,667
Net investment income (loss)	-	3,501,486	-	3,501,486
Change in unrealized gain (loss) on investments	-	1,249,310	-	1,249,310
Net increase (decrease) in capital resulting from operations	-	4,750,796	-	4,750,796
Contributions	-	1,626,914	-	1,626,914
Distributions	-	(17,815,429)	-	(17,815,429)
Total increase (decrease) in capital	-	(11,437,719)	-	(11,437,719)
Capital as of March 31, 2025	<u>\$ -</u>	<u>\$ 143,456,948</u>	<u>\$ -</u>	<u>\$ 143,456,948</u>
<u>CRED III Holdings L.P.</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 83,901,481	\$ 125,000	\$ 84,198,828
Net investment income (loss)	-	1,026,683	-	1,026,683
Change in unrealized gain (loss) on investments	-	1,430,446	-	1,430,446
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	2,457,129	-	2,457,129
Contributions	-	1,754,898	-	1,754,898
Dividends to non-controlling interest	-	(3,750)	3,750	-
Payments of dividends to non-controlling interest	-	-	(3,750)	(3,750)
Carried interest	356,334	(356,334)	-	-
Total increase (decrease) in capital	356,334	3,851,943	-	4,208,277
Capital as of March 31, 2025	<u>\$ 528,681</u>	<u>\$ 87,753,424</u>	<u>\$ 125,000</u>	<u>\$ 88,407,105</u>
<u>CRED III Master Funds (Combined)</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 238,796,148	\$ 125,000	\$ 239,093,495
Net investment income (loss)	-	4,528,169	-	4,528,169
Change in unrealized gain (loss) on investments	-	2,679,756	-	2,679,756
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	7,207,925	-	7,207,925
Contributions	-	3,381,812	-	3,381,812
Distributions	-	(17,815,429)	-	(17,815,429)
Dividends to non-controlling interest	-	(3,750)	3,750	-
Payments of dividends to non-controlling interest	-	-	(3,750)	(3,750)
Carried interest	356,334	(356,334)	-	-
Total increase (decrease) in capital	356,334	(7,585,776)	-	(7,229,442)
Capital as of March 31, 2025	<u>\$ 528,681</u>	<u>\$ 231,210,372</u>	<u>\$ 125,000</u>	<u>\$ 231,864,053</u>